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BRICS 2.0 - Looking past the BRIC wall

Nischay Mohan Bodapati

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Introduction

A few years ago, research was done on the impressive growth in four of the biggest emerging economies of the world: Brazil, Russia, India and China, which Jim O'Neill of Goldman Sachs acronymed into "BRIC" in 2001. An emerging economies fund was started for investors to invest in these rapidly growing, relatively fresh economies (compared to the more mature G7 economies), thus providing them with high returns along with high risk. While this paid off for early investors as we saw the eventual rapid rise of the 4 countries, in the current climate these economies have been slowing down or have remained stagnant at best.

The Stagnant Economies

China, Brazil Russia and India were viewed as a sure thing by investors until recently. In recent times, their economies have shown signs of weakness with slowing rapid growth and money flowing back to the West [1]. The sense of destiny of the BRICs inspired the launch of the BRIC summits, but it became apparent that inherent tensions complicated the task of getting anything practical done, or be able to find common ground, thus diminishing optimism. Economically, the International Monetary Fund forecasts suggest China will grow at above 7 percent this year, India at 5 percent, and Brazil at less than 2 percent, while Russian growth is projected to be flat [2]. Moreover, China's economy has slowed down from an average annual growth rate of 11% in the last decade to less than 8% in 2012. This has especially taken the wind out of economies that worked by selling raw materials to China, particularly Brazil and Russia, where GDP growth slipped to 1% and 3.5%, respectively, last year.

Do we need a BRIC2.0?

The BRICs no longer look like a rising economic axis, with their GDP growth rate being at par with mature economies like the US. This has proven to be dissapointing for the emerging economies who want to catch up to the West, as their per capita income is much lower than that of the US [3]. Considering that the original economies, who initially provided rapid investment returns on account of high risk, are slowing down or stagnating, there is an obvious need to look at other, less mature regions and focus on maximum returns for the next 10 years. With the latest IMF reports suggesting that the BRIC's economic prospects are fading, it is important to pursue and find new drivers of growth and international change [4].

Additionally, Jim O'Neill had already begun to focus his attention on other emerging economies. He has researched and written on a newer group of economies (such as the Next Eleven (N11) and MINTs) that would be fresher and worth a look at after forecasting slowing economic growth and subpar economic and political reforms in the BRIC members [5].

Apart from having large populations, these newer batch of emerging economies are forecasted to have really good "inner" demographics. That is, these fresher emerging economies will see a rise in the number of people eligible to work relative to those not working. It is what makes them competitive and sets them apart from developed countries, as well as existing members of BRIC such as China and Russia. If countries like Mexico, Indonesia, Nigeria and Turkey get their act together, it is forecasted that they may match Chinese-style double-digit growth rates in the near future [5].

How do we look for BRIC2.0?

There are a few factors that can be looked at. We could look at the research conducted by Jim O'Neill in his first coinage of the BRIC economies. More specifically, we could look at them in terms of strategic factors such as economic forecasts, location, market potential and population demographics.

Location: Location is an important aspect when considering smaller economies and their future potential. The countries surrounding these emerging economies can prove to be crucial as they could have good trade relations which benefit them financially, as well as a certain security thus providing political benefits. Additionally, like countries on the Silk Route in the past, if an emerging economy is located on an axis connecting 2 or more regions of the world economically or politically, the trade and investment flows could be vital to its development as an emerging nation.

Economy: An emerging country's economy should be stable and small, and not matured yet. This means that if it is not undergoing serious symptoms of inflation or deflation, combined with the location, strategic partners and internal economic reforms, that economy can only be forecasted to rise exponentially over the next few years.

Population: The one thing BRICs have in common is they have huge populations. A large population with most of the citizens being a certain age means a higher workforce and more production, which means more capital as there is enough for internal consumption as well as profitable export. As well, smaller economies with huge populations who look towards the US and Canadian models will have an entrepreneurial spirit to see their country developed, and this could spur the economy of these countries on further.

BRIC2.0 CONTENDERS

Mexico

Mexico is a thriving economy sitting between two important continents - North and South America. This gives the country important geographical advantage in terms of trade [4]. It has managed to grow with lower inflation rates, and its economy has been growing steadily with exports to the United States. Mexico's GDP, which was already of similar size to Brazil, grew by 4% in 2012 [6]. Mexico has also taken the lead from China in manufactured exports, and thus has a cost advantage in this sector as China's labor costs continue to rise. Finally, it has a young, dynamic population giving investors a view at a fresh, emerging economy sitting between 2 major economic blocs.

Indonesia

Indonesia has the 4th largest population in the world and is South-East Asia's largest economy. Additionally, it is a gateway to the emerging South-East Asia and Australasian economies. Politically, it is a young, vibrant democracy with more long-term potential than a possibly slowing China [4]. An especially strong suit of Indonesia not visible in established BRIC countries is the presence of a large middle class which fuels a potent consumer market and robust domestic consumption [6]. In terms of average annual income Indonesians earn about \$3500 per head, which is on par with India, with the figure projected to grow by \$21000 by 2050 [7].

Nigeria

Nigeria is one of Africa's biggest players, with developing industries in technology, manufacturing and commodities increasing in revenue. As well, it has a young, dynamic population with a median age of under 18 and is set to overtake the US as the world's third most

populous country. Nigeria's GDP is estimated to reach \$5 trillion by 2050 [7]. Although Nigeria does not have a special geographical advantage, mainly because of surrounding Africa's lack of development, economic and political reforms could spur on a change where African countries can finally trade successfully with each other. Nigeria's average income is \$1500 per head, on par with current BRIC member India, and expected to grow to \$12600 by 2050 [7]. Nigeria also has a lot more space to grow rapidly as compared to Mexico, China and Brazil which are considered mature economies. There are considerable challenges, from corruption to theft of natural resources, but Nigeria is a high-population market of growing wealth and opportunity [8].

Turkey

Turkey's most favourable factor is its location, which allows it to bridge Asia and Europe along one axis and Russia and the Arab world along the other [9]. It also has the unique position of being the gateway between Europe and Asia, but not directly governed by the European Union, instead being a 'strategic partner' of the EU [4]. It has a strong reservoir of entrepreneurial talent in the country, which helps its growth and is a catalyst for diversifying the economy [6]. Turkey has one of the largest service sectors compared to other emerging economies, thus allowing it to compete internationally with the developed economies in the west. In terms of wealth, Turkey's citizens earn about \$10000 annually, which puts them ahead of China (\$6000) and India (\$1500) [7].

South Korea

South Korea is considered one of the easiest places in the world to do business, and its economy is highly competitive in both Asian and World markets. It is a hub of technology and innovation, with a Human Development Index (HDI) competitive with Western European levels [4]. With a \$1.1 trillion economy, a GDP per capita of over \$31000 and an aging population, South Korea could be considered a mature economy and maybe an emerging market of 20 years ago. However, South Korea is a favorite location for international business operations due the government's strong support for Foreign Direct Investment and a high Purchasing Power Parity, thus setting it apart and making it highly competitive as compared to other emerging economies [7].

Philippines

Philippines is on track to increase their population by 50% by 2050. In 2002, the Philippines GDP amounted to \$81 billion, in current prices. Today, that amount has tripled to \$241 billion.

The IMF has further forecasted inflation-adjusted increases in GDP of 4%. Philippines has a decent metric in private consumption, coupled with investments in the construction industry [11]. Finally, setting Philippines apart in the new emerging economies sector is its booming call center industry, as well as massive international remittances and money transfers from its loyal citizens living and working abroad [12].

Other potential contenders include: **Argentina; Poland; South Africa; Hungary; Chile.**

CONCLUSION

After considering financial factors such as GDP, location and population demographics, the strongest contenders for the next generation of emerging economies could be Mexico, Turkey, Philippines and Nigeria. These have the benefits of being in strategically important areas of the world, a young, entrepreneurial population that has learnt from the mistakes of the West and the stagnant BRIC, and a GDP projected to grow exponentially in the next few decades. They are not without problems however - Turkey's location could prove to be a double-edged sword with its proximity to conflict-ridden zones and reluctance to join the EU and Nigeria's central location in a continent that yet to be conflict-free or economically productive. However, with consistent economic and political reforms, these countries can target their weaknesses and expected to gradually reach the heights of China and Russia on a global stage.

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